

China: 70-city average primary property price decline narrowed in May, with Tier-1 cities posting sequential gains

Bottom line:

The National Bureau of Statistics' 70-city house price data suggest the weighted average property price in the primary market fell by 1.8% mom annualized in May after seasonal adjustments, less than the 2.9% decline in April. Home prices in Tier-1 cities continued to increase sequentially, led by Shenzhen, and the sequential decline in home prices in Tier-2 and Tier-3 cities also narrowed. We emphasize the 70-city data are for primary market transactions (new home sales) only; secondary market data by NBS and some third-party platforms suggest price declines of 5-10% over the past year.

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Key numbers:¹

NBS' 70-city primary-market weighted average property price change in May: -1.8% mom annualized (seasonally adjusted by GS), -3.5% yoy. April: -2.9% mom annualized, -3.6% yoy.

Main points:

1. After seasonal adjustments, weighted average house prices in the primary market fell by 1.8% mom annualized in May (vs. -2.9% in April; [Exhibit 1](#)). The number of cities that experienced sequentially higher property prices edged up in primary markets but edged down in secondary markets in May ([Exhibit 2](#)). While year-over-year changes in the national weighted-average new home prices fell further by 3.5% in May (vs. -3.6% in April), Shanghai (3.7%), Hangzhou (2.0%), and Hefei (0.8%) continued to post year-over-year price gains. We emphasize the 70-city data are for primary market transactions (new home sales) only; secondary market data by NBS and some third-party platforms suggest price declines of 5-10% over the past year ([Exhibit 3](#)).
2. By city tiers², Tier-1 city house prices increased sequentially by 1.4% mom annualized in May (vs. +0.7% in April). Recent policy easing remains localized (e.g., [Guangzhou's buyback program](#)) and is focused on expanding the use of [housing provident funds](#). Shenzhen posted the strongest sequential gain among Tier-1 cities, with prices up 3.9% mom annualized in May (vs. +1.6% in April). The sequential decline in home prices in Tier-2 and Tier-3 cities also narrowed. House prices in Tier-2 cities declined sequentially by 1.1% mom annualized in

¹ Our estimates of 70-city weighted average property price changes are population-weighted, which can differ from simple averages. Sequential change numbers here are based on GS seasonal adjustments.

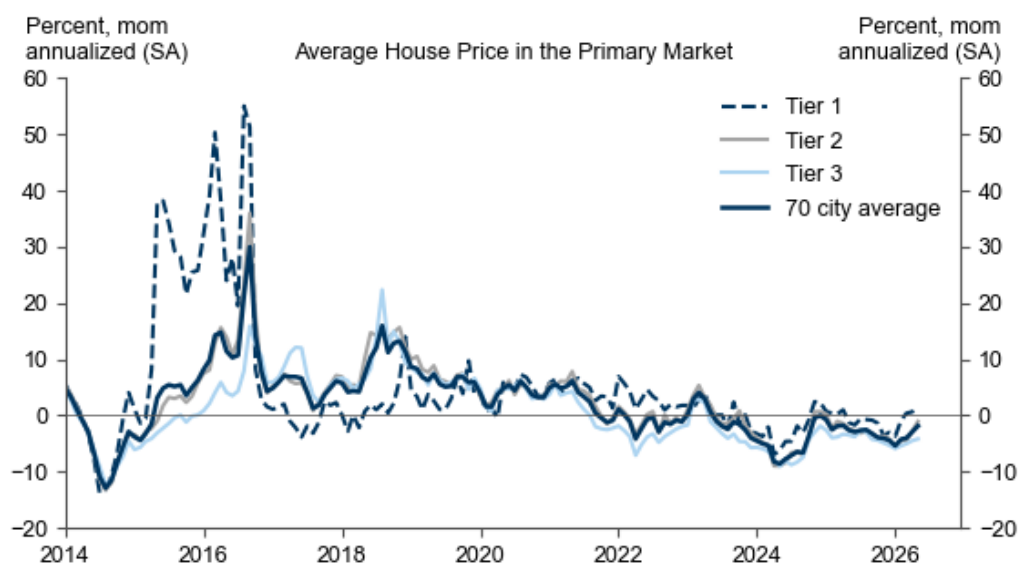
² We classify the 70 cities into different tiers following the NBS definition.

May (vs. -2.7% in April). For Tier-3 cities, house prices declined sequentially by 1.8% mom annualized (vs. -2.9% in April).

3. Our high-frequency tracker suggests that the 30-city new home transaction volume has been largely in line with year-ago levels in May and early June. Major cities' inventory months (sellable gross floor area divided by 12-month rolling gross floor area sold) decreased to 28.5 in May from 28.9 in May, with the decrease mostly led by Tier-2 cities.

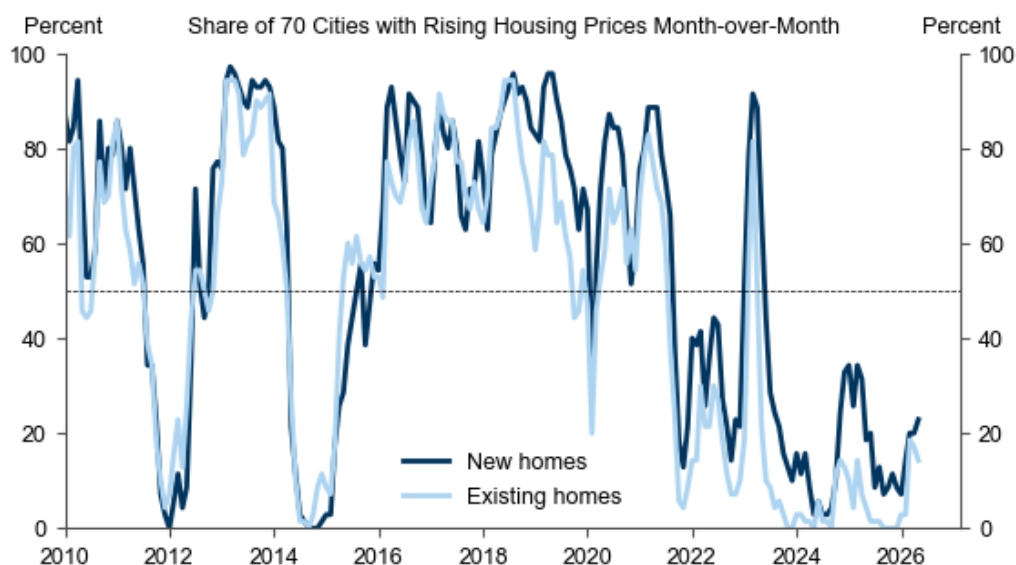
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Exhibit 1: In the primary market, the sequential decline in 70-city weighted average property price eased to 1.8% mom annualized in May

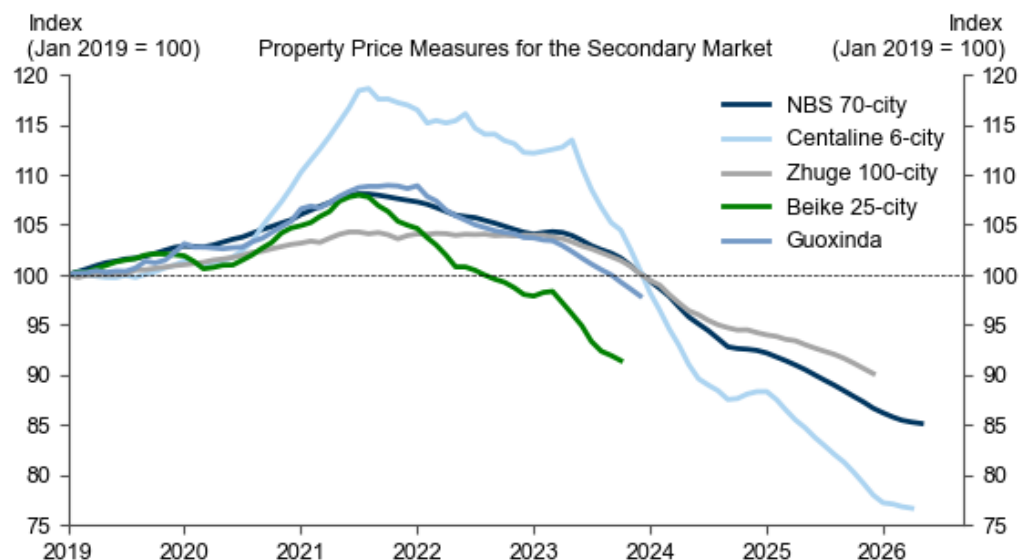


Source: NBS, Goldman Sachs Global Investment Research

Exhibit 2: The share of cities that experienced sequentially higher property prices edged up in primary markets but fell in secondary markets in May



Source: NBS, Goldman Sachs Global Investment Research

Exhibit 3: NBS 70-city secondary home prices continued to decline in May

Beike suspended the release of secondary home price data in October 2023, Guoxinda suspended its price series in December 2023, and Zhuge suspended its 100-city property price series in December 2025. Latest data for Centaline 6-city property prices are as of April 2026.

Source: NBS, Centaline, Beike, Zhuge, Wind, Data compiled by Goldman Sachs Global Investment Research

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